AI | Expert Insights

COMPANY DEEP-DIVE

Director at Crescendo Believes Zendesk Faces Challenges in Pricing and AI Capabilities Amid Competitive Market

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
02 Sep 2026	28 Aug 2026	Consultant	AI Interviewer	ZENDESK INC

SMART SUMMARY

Summary

The interview covered Zendesk's competitive position in the customer service software market, focusing on its strengths, weaknesses, pricing dynamics, AI and quality tool capabilities, and the factors influencing client retention and switching decisions.

EXPERT BACKGROUND

- Director with extensive experience in the BPO industry, having worked directly with multiple clients using Zendesk and other customer service software, with hands-on experience as both an agent and in management roles, particularly focused on quality and reporting aspects.

EXPERT SENTIMENT

- Zendesk is generally perceived as a reliable and well-established tool, but **its competitive position is challenged by pricing and the pace of technological advancement from competitors**.
- The expert sees Zendesk as defending its price rather than setting it, and notes that its AI and quality capabilities are not currently perceived as best-in-class by many clients.
- There is **concern** that Zendesk risks losing ground if it does not adapt quickly enough to shifts in technology and client needs, particularly around AI and integrated quality tools.

TAKEAWAYS

- **Zendesk is widely used across client sizes, especially in the mid-market, but often loses deals** primarily due to pricing, with Salesforce and Kustomer being common alternatives.
- **Clients switching from Zendesk often cite limitations in reporting**, AI frontline customization, and quality tool capabilities as reasons for leaving, with many supplementing Zendesk with custom or internal tools.
- Zendesk's native AI is not widely adopted by its clients, with **about 70% using custom or third-party AI solutions instead, due to perceived limitations in customization and integration**.
- Switching away from Zendesk is disruptive and **costly**, so most clients prefer to stay unless there is a clear long-term benefit, such as significant cost savings or superior capabilities.
- **Zendesk's move toward outcome-based pricing is seen as positive and more aligned with industry trends, but there is uncertainty about its impact on overall revenue**.

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Expert Bio

Director at Crescendo. Expert can speak to Zendesk's business model and customer experience strategies based on their extensive experience in quality assurance and customer service optimization, including the use of Zendesk platforms. Director at Crescendo. The expert is responsible for leading quality transformation initiatives focused on operational excellence, implementing AI-enabled quality practices, optimizing customer experience, modernizing QA frameworks, scaling insight generation and reporting, and providing cross-

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functional leadership, performance optimization, and coaching. Prior to Crescendo, the expert was the Director of Quality at PartnerHero, leaving October 2024. The expert was responsible for leading quality operations and strategic initiatives across distributed customer experience teams, driving process improvement, performance management, and scalable quality frameworks through data-driven decision-making and coaching. Earlier roles include Quality Assurance Manager (left July 2023), managing QA programs, coaching frameworks, root cause analysis, calibration, and reporting, and Portuguese Team Lead (left October 2020), overseeing multilingual support team performance and workflow management. The expert can speak to AI-powered QA transformation, quality strategy and operational excellence, QA analytics and reporting, QA/analytics platforms including Zendesk, performance optimization, leadership development and coaching, root cause analysis, quality calibration, and customer experience improvement.

Interview Transcript

AI Interviewer 00:00:00

I appreciate the time. The goal of our conversation today is to understand Zendesk's competitive position as you have observed it from the market, where it wins, where it loses, how it competes on price and product, and how the landscape around it has been shifting. To start, could you tell me a bit about your current role at Crescendo and how it puts you in contact with Zendesk or the customer service software space more broadly?

Expert 00:00:26

Yes. Having worked in the BPO industry for many years, I have worked with multiple clients that use Zendesk. I have seen ways how it has been used by different type of clients based on their needs. I have used it personally a few occasions. Early in the days, I have used as an agent myself, and then as I started management roles, I also expanded the knowledge. Understanding how reporting works in Zendesk and other capabilities. I have a good overview of how it works in action. Currently, I have a bigger focus on the quality aspect, which means that I also understand how Zendesk is shifting towards that direction as well, or to encompass more that capability among others.

AI Interviewer 00:01:09

Got it. In terms of the segments or types of clients you have seen using Zendesk, would you say those were mostly smaller businesses, mid-market companies, or larger enterprise accounts?

Expert 00:01:20

There is a mixed bag. I have seen lots of different sizes of clients using Zendesk, from smaller teams to very big ones. Perhaps the majority, based on my personal experience, have been mid-market. It's usually perceived as one of the most reliable tools or most reliable CRM tools. It is commonly used, and I would say that the majority of the clients that I have worked with in the customer service area use Zendesk. Of course, we have a good amount that use other as well, but Zendesk is a very common one to be used in a variety of settings and types of clients.

AI Interviewer 00:01:57

Understood. When you think about the deals or situations where a client chose a different tool over Zendesk, what were the main reasons you observed for that?

Expert 00:02:06

I would say pricing usually is a big one. From, again, personal experience and observation and being in conversations around that type of change, usually that has been the main factor. I even recall a few situations in which there was the acknowledgment that Zendesk was the better tool, but people wanted to experiment with something different because it would save cost down the line. I cannot remember an instance where a tool offered something specific that Zendesk didn't have, so I would say the main reason is pricing.

AI Interviewer 00:02:36

When you say **pricing was the main factor, what percent of those competitive losses** would you attribute primarily to price versus other factors?

Expert 00:02:45

I will give you a ballpark estimate, not a real number, but I would say a significant portion.

AI Interviewer 00:02:51

In those situations where price was the deciding factor, which tools were clients typically switching to?

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Expert 00:02:57

I have seen clients switching to Kustomer, switching to Salesforce. I think those were the main ones that I have seen a switch. There might have been others. I don't remember the name, or it is not coming to my head right now.

AI Interviewer 00:03:11

When you mentioned Salesforce, were those clients already in the Salesforce ecosystem, or were they coming to it fresh as a Zendesk alternative?

Expert 00:03:20

Some coming fresh. There might have been a situation or two where the stakeholders in the company had used Salesforce previously, and so could be like, "Let's switch to it. I know how to use it, so it can be a good fit for the team." There have been instances where the switch was fairly fresh and all teams had to learn from scratch how to make the migration and utilize the tool.

AI Interviewer 00:03:40

Got it. When those fresh switches happened, how did clients generally feel about the trade-off in terms of functionality compared to what they had with Zendesk?

Expert 00:03:50

I think the biggest loss I have seen was on the reporting side. A few instances where with Zendesk, you had a variety of custom reports that were easy to build or at least were giving all the information that you needed, customized in the way that you needed. After a migration, the teams had to settle for, this type of reporting isn't possible anymore, so we will have to adapt and do with it. Essentially, the core functions of, let's say, being able to take a call, write an email, chat, like the actual function of doing the interactions, that aside from some user experience layout type of feedback, hasn't been the biggest adaptation that people had to go through. The biggest adaptations that caused, let's say, not necessarily problems, but **people had to learn to live with were worse reporting capabilities**.

AI Interviewer 00:04:36

That's interesting. When you say worse reporting capabilities, were those clients ultimately satisfied with the trade-off, or did you see any of them consider switching back to Zendesk?

Expert 00:04:47

I haven't been in conversations then where they discussed wanting to switch back because from my roles, I usually see the decisions that are made but I am not usually into the conversations that are actively discussing what tools they want to use, etc. I tended to hear the rationale and what the trade-offs were considered after the decisions were made. I wouldn't be able to tell you if there were internal conversations around we want to switch back. I can only say that I could see the, le**t's put it that way, not a regret, but an acknowledgment that there is a loss in certain capabilities**. Nevertheless, we will adapt and use the new tool.

AI Interviewer 00:05:26

Understood. Let's move to pricing dynamics. You mentioned that **Zendesk was often seen as the better tool, but lost on price**. Would you characterize Zendesk as a price setter in the market or more as a company that has to defend its pricing against cheaper alternatives?

Expert 00:05:45

I think more the latter. It's a very well-established tool **that is regarded as a very good one**, reliable. It can lean on its legacy to justify its pricing. I think I would confirm the last statement that Zendesk will be able to justify the pricing against cheaper competitors because of its legacy, if that makes sense.

AI Interviewer 00:06:05

When you say **it can lean on its legacy, where would a skeptic push** back on that view?

Expert 00:06:10

Perhaps the tools are getting each time more modern. There are new adaptations, and competitors are always improving the service they offer. Even though Zendesk is established as a reliable and very good tool, you could push back that, well, but this competitor is now

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developing more so on the side. They are becoming more technologically advanced. I think **that would be the angle where a pushback** would come from.

AI Interviewer 00:06:38

Which competitors specifically do you see as the most technologically advanced challengers to Zendesk right now?

Expert 00:06:45

Salesforce definitely comes to mind. Sierra, I think is one that has already been pushing for more technological advancements as well. Perhaps even HubSpot. I would say, yeah, those.

AI Interviewer 00:07:00

When you mention Sierra, what specifically are they doing that **you see as a meaningful technological challenge to Zendesk**?

Expert 00:07:08

They are leaning a lot on AI technology. Full disclosure, I don't have a lot of experience with clients using Sierra, so I am not able to give a lot of intel on how the actual capabilities are. I have generally seen conversations around how it is being marketed as a company that's growing and taking advantage of the AI technology.

AI Interviewer 00:07:28

Got it. On the AI front more broadly, how are you seeing Zendesk's own AI capabilities being perceived by clients compared to what competitors are offering?

Expert 00:07:39

Zendesk had a lot of acquisitions. It acquired smaller companies to build up on different capabilities. For example, with quality, they acquired Klaus, which allowed for not having to build from scratch AI-based quality capabilities, but developed from there. I think there was a workforce management tool as well that had a similar process. It's building up on knowledge that has already been created and technology that has already been developed.

AI Interviewer 00:08:08

Based on our previous conversation, we covered your background and some context around how you have observed Zendesk compete in the market. I would like to pick up with a question about Zendesk's market share trajectory across different segments. Does that sound right to you?

Expert 00:08:25

Yes.

AI Interviewer 00:08:26

When you look at the segments you have observed, whether that's small business, mid-market, or enterprise, where do you see Zendesk gaining ground, holding steady, or losing?

Expert 00:08:37

That is a good question. I think it may gain ground with honestly smaller clients, because I believe they are moving out of just basically seat pricing and offering more outcome-based pricing, **which tends to be more advantageous if you have tighter budgets**. For example, **concerns** that smaller companies may have is that you have limited seats. Whenever you grow your team or you have more volume, you add a substantial amount of pricing to the contract. It's not easy to give, for example, seats for a supervisor or supporting roles that should also have access to the tool. **This has been a common constraint** I have observed historically with Zendesk queues.

The moment you adapt pricing dynamics to be more outcome-based, you eliminate this roadblock of extra seats and that being a problem. You allow for the company to pay more around the actual volume and resolution they go through, independent of how many people or labor seats are effectively using the tool.

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AI Interviewer 00:09:34

Got it. When you think about the mid-market or enterprise segments, where would you say **Zendesk is losing ground**, if anywhere?

Expert 00:09:43

I wouldn't say **it's losing ground on a specific type of market science client**. I could see **it losing ground to companies** developing technologies faster or thinking of new ways to operate, given the fast advancement of AI.

AI Interviewer 00:09:57

Which specific companies or platforms are you seeing develop technology faster and pull deals away from Zendesk?

Expert 00:10:04

I'm not able to quantify or even cite a specific client that currently has decided against a different one compared to Zendesk purely on the technology. As I mentioned before, I have seen, heard conversations around how Sierra is fast-growing. I know Salesforce has been putting a lot of effort into these advancements as well. The decision-making process around which CRM tool to use has more options that now seem suitable versus before where I would say, the general sentiment of the industry has been, "Zendesk will be the better tool, but we will have to analyze all of the components before making a final decision."

AI Interviewer 00:10:41

Understood. You mentioned Sierra as fast-growing. What is it about Sierra's approach that **you think is resonating with buyers compared to Zendesk**?

Expert 00:10:51

The lean towards the use of AI. **The rapid development of AI technology embedded in the tool is very appealing**.

AI Interviewer 00:10:59

When you say AI embedded in the tool, is **it more about the depth of AI capability, the ease of deployment,** or something else that's making Sierra stand out?

Expert 00:11:09

Worth noting that currently I don't have any client that is using it, so I don't have first-hand experience with the capabilities. I can only speak from a position of I've heard conversations around it. In that case, it would be, I think, the actual AI agents resolving the cases, so you have reduced need for labor.

AI Interviewer 00:11:30

Got it. When you think about Zendesk's own AI capabilities, how would you characterize how buyers in the market are perceiving Zendesk's AI relative to these newer entrants?

Expert 00:11:43

This is an interesting one, what I will say here is more towards what I have experienced. Whilst **Zendesk is still perceived as a good tool**, I have seen a substantial amount of clients that use Zendesk plus other AI tools to actually do part of the work. For example, I don't see all of the clients that adopt Zendesk actually using the agent AI to resolve the conversations. I have seen clients that have a different AI tool performing this frontline agent type of work, and Zendesk being the main CRM and ticket repository being used for more other supporting tools versus the main answering tickets type of work.

AI Interviewer 00:12:21

That's an interesting dynamic. When you say clients are layering other AI tools on top of Zendesk rather than using Zendesk’s native AI, roughly what proportion of the Zendesk clients you've observed are doing that versus using Zendesk’s own AI capabilities?

Expert 00:12:39

Again, this number is not a precise number, but I would say 70%, so the majority.

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AI Interviewer 00:12:46

When those clients are choosing a separate AI tool to sit on top of Zendesk, which tools are you seeing most frequently in that role?

Expert 00:12:54

There are custom ones. For example, internal tools built by some companies have been used. I think that has been the more common scenario versus a widely marketed one.

AI Interviewer 00:13:05

Interesting. When companies are building custom AI on top of Zendesk rather than using Zendesk's native AI, does that suggest to you that **Zendesk's own AI is falling short** of what buyers need, or is it more that the custom builds are just better tailored to specific use cases?

Expert 00:13:24

I think both of what you mentioned is true. In one way, there have been custom-built tools **that are better or outperforming the AI in Zendesk**. It can also have to do with integrations, the easiness of additional tools, integrations to make the work more seamless. If you ask my personal opinion, yes, I have the perception that generally the own AI frontline agent from Zendesk is not perceived as the gold standard at the moment.

AI Interviewer 00:13:50

When you say it's not perceived as the gold standard, what would have to change for Zendesk's native AI to be seen as the preferred choice over these custom builds?

Expert 00:14:00

That is a good question. Possibly, easy integration systems, customization. That is an important factor. You see a lot of clients that even though operating similar industries, will have very different needs or particular ways they want the AI to behave. It can happen that if **a company has built an internal tool**, they will have the people that are ready to fine-tune it more easily. Whereas, let's say if you use the Zendesk one, you are bound to Zendesk team to make the changes, fine-tuning, and everything else, which can also impact pricing. A way to summarize it could be how easy it is to manage the frontline AI.

AI Interviewer 00:14:39

Got it. When **you think about that customization gap, how significant a barrier** do you think that is for Zendesk in retaining clients who are already using these custom AI builds? Is it something Zendesk could close, or does **it represent a more structural risk**?

Expert 00:14:55

Probably something they could close if there is enough market research. I'm not able to say if they have the intention of doing so. This is something that I'm not able to provide a lot of intel on, is if Zendesk is content with its customer base and growth, or if **they see this as a threat**. I'm not really sure. What I can say is that I think with the people they have working there, the type of acquisitions, they definitely have access to the technology, and they have likely market information to make the changes that they would need to do to remove some of these barriers. I am just not able to say if they want to remove these barriers.

AI Interviewer 00:15:34

Understood. Let me shift to pricing dynamics. When you have observed Zendesk in competitive situations, do you see it behaving more as a price setter, or is it defending on price against competitors?

Expert 00:15:48

I think it would be more defending price against competitors. Again, it's a well-established tool, so I have not seen that it's willing to make a lot of negotiations or a discount just to retain clients. Again, a lot of these questions have not been things that I have first-hand experience, so it's more of an inference.

AI Interviewer 00:16:08

That's helpful context. When you say you have not seen Zendesk willing to make a lot of negotiations or discounts, what is that inference based on? Is it conversations with clients, colleagues, or something else?

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Expert 00:16:22

Yes. For example, when you see that a company is considering either continuing its contract with Zendesk or changing, or something along those lines, at times if they already have a contract with Zendesk and are assessing if they will renew or not, an important factor will be would Zendesk be willing to negotiate the price given the new or current landscape that this client is going through? Most of the times where I have seen clients going through this phase of negotiation, a change has been made, which makes me infer that Zendesk didn't provide a counteroffer. Again, an inference based on this context.

AI Interviewer 00:16:57

When you say a change has been made, do you mean the client switched away from Zendesk, or that Zendesk did eventually offer a discount?

Expert 00:17:05

That they switched to a different tool.

AI Interviewer 00:17:08

Roughly how many of those renewal situations have you observed where the client ultimately switched away from Zendesk?

Expert 00:17:16

I would say in the past year, at least five. I have seen that happen at least five times.

AI Interviewer 00:17:23

Across those five situations, do you have a sense of what tools those clients switched to?

Expert 00:17:28

Salesforce, I think has been the main one, and Kustomer.

AI Interviewer 00:17:32

When you say Kustomer, could you clarify which platform you are referring to?

Expert 00:17:37

Kustomer.

AI Interviewer 00:17:38

Got it. Kustomer. When those clients moved to Salesforce or Kustomer, was pricing the primary driver, or were there product capability reasons as well?

Expert 00:17:50

I think a bit of both. Also, a disclaimer that Salesforce, I believe nowadays is not even necessarily a cheap alternative. I think Kustomer still is. Also worth mentioning HubSpot. I think I have seen some changes towards that. Pricing has been a consideration, but then again, situations where a stakeholder in the company had experience, wanted to experiment, or saw a capability that would be easy to integrate with their system, so a variety of motivations.

AI Interviewer 00:18:19

Let me move to technology architecture. When you think about Zendesk as a platform, do you see it becoming easier or harder for competitors to displace given how deeply it tends to be embedded in a client's operations?

Expert 00:18:32

It's hard to displace because once you have Zendesk in, it means it is embedded in all the systems that this client works with, and very likely there are already several integrations that have been done, and a lot of the workflows and reporting processes have been created around having Zendesk. When you make a CRM change, it tends to be very disruptive and very slow. **It's usually a very stressful change for a team** that works with the client when it happens.

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AI Interviewer 00:18:59

Got it. Given how disruptive those migrations are, what is your sense of what actually tips a client over the edge to make that switch despite the pain?

Expert 00:19:09

They obviously see a long-term gain. Whether that is **their budget is now tighter**, they will have to adapt to something different, or they see that the new tool will solve something for them that currently Zendesk doesn't. That will usually be the reason why despite the disruption, the decision to change still has been made.

AI Interviewer 00:19:28

When you think about the something **Zendesk doesn't solve, in the cases** you've observed, what has that most commonly been?

Expert 00:19:36

We already talked a bit through it, but let's say AI frontline customization, I think, would be one thing to mention.

AI Interviewer 00:19:42

Beyond AI frontline customization, are there other capability gaps you have seen clients cite as reasons to switch?

Expert 00:19:50

The quality tool embedded in Zendesk is quite limited. Oftentimes, a team cannot rely on it alone to perform quality workflows, and that will include having additional manual layers or just simply not using it fully. It's not very complete, to put it that way.

AI Interviewer 00:20:05

When you say the quality tool is quite limited, what specific capabilities are clients finding missing that they are having to work around?

Expert 00:20:14

I will give you a few examples. Having the ability to customize a rubric or scorecard using multiple available. Being able to evaluate more than just the transcript itself. With quality workflows, **it can be deceptively** complex in the sense that at a first glance, you can think that you just need an AI set to analyze the transcript, and it will be able to give you a thorough evaluation of a ticket. Oftentimes, an agent that is resolving something for a client, they will perform a lot of actions that happen outside the CRM. They are consulting different knowledge bases. They are making judgment calls. You are very rarely able to assess if something has been correctly done by a transcript alone, which is where the quality tool for Zendesk, for example, falls short. It only resolves a small portion of the evaluation ecosystem.

AI Interviewer 00:21:07

That's a useful distinction. Are there specific quality platforms you are seeing clients adopt to fill that gap alongside or instead of Zendesk's native quality tool?

Expert 00:21:18

It tends to happen similar to the AI frontline aspect, customized tools. The widely marketed ones, to be honest, have a similar profile than Zendesk. They will solve a more basic evaluation need instead of the whole end-to-end evaluation interaction. Which also could be a reason why a lot of quality tools are not alone. Klaus, for example, which has been regarded as a very good quality tool, was acquired by Zendesk. Perhaps the future direction of the industry is that things like quality, workforce management, and other supporting functions are all part of the same CRM ecosystem instead of being separate things. Which again answers the question as, so what are people doing to fill in the gap? It's usually turning back to internal build tools or supporting with manual workflows.

AI Interviewer 00:22:06

When you say clients are turning to internal tools or manual workflows to supplement Zendesk's quality features, roughly what proportion of Zendesk users you've observed are doing that?

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Expert 00:22:18
I think at least 70% of users will have an alternative, whether that's internal build or a different tool, to complement something that Zendesk doesn't do by itself.

AI Interviewer 00:22:27
And you mentioned Klaus was acquired by Zendesk. Do you see that acquisition as meaningfully closing the quality gap for clients, or is **it still falling short of what** they need?

Expert 00:22:38
Personally, I would say **it's still falling** short. Although, I imagine they have not stopped the advancements and are likely still investing on other capabilities to improve the services. I'm not sure how much this acquisition was a priority to Zendesk compared to all of the other functions. Perhaps it's something that was not being put in as the first thing that needs to happen. **It's still falling short**, but with a caveat that I don't think it is stalled. This is my inference, not a fact, because I don't work directly with these companies. I would think that they are still working towards improvements. It's just perhaps not the team with more investment. Again, when I say more investment, it's an assumption, not something that I know for a fact.

AI Interviewer 00:23:24
Understood. Let me move to the addressable market. When you look at the overall demand for customer service software, do you see **the market expanding, contracting, or shifting in terms of where the real growth opportunity** lies?

Expert 00:23:39
I would say shifting, because AI is changing a lot how the industry works. There are always new capabilities, new things. There is a movement towards agentic work, sorry. AI performing more and more tasks with labor monitoring this. This is a movement that we see happening, not just in customer service, but with tech companies in general. This will inevitably shift the dynamics because CRM tools like Zendesk and others that have been embedded in this industry were built on a landscape where it's mainly labor. You started to build automations here and there, and deflection of tickets has been a thing. It has been a long time. Just previously not done with AI, but done with the bots, the initial bots that deflect using knowledge base and so on. AI came and became, let us say, in this first stage, a better bot.

Instead of being a bot that collects information from a knowledge base and then just regurgitates exactly the same phrasing, regardless of how a customer has phrased their question. AI came, and then the answers became more customized, nicer, and there has been this shift. Fundamentally, the work was still balanced similarly. Now, I think there has been this understanding that the technology goes beyond just being a better bot. It can do actually more work. It can automate things that weren't even conceived as being automated previously. I think all of these tools are trying to understand what is the next step.

AI Interviewer 00:25:11
When you say the market is shifting, do you think the total spending on customer service software is growing as AI expands the scope of what these tools can do, or do you see budget pressure compressing overall spend as AI reduces the need for labor and therefore seats?

Expert 00:25:27
It's a good question. I would say, I don't see a reduce in sales of tools. I think there is still room and demand for these technologies, because the fact that you have less need for labor doesn't mean the volume of tickets is decreased. They are still happening. You are just using the tools to better deal with those and using labor when strictly necessary.

AI Interviewer 00:25:49
When you think about outcome-based pricing, if Zendesk moves more toward charging per resolution rather than per seat, do **you see that as a net positive for Zendesk's revenue,** or does it risk compressing what clients actually pay?

Expert 00:26:03
It's a personal opinion. I think it's positive. I think in general, the industry has been moving in that direction, because it aligns better with this idea that technology does more and more. Therefore, having your pricing around labor seats doesn't make that much sense anymore. To keep seat based is outdated given the current scenery. The outcome-based pricing allows for more flexibility and also to be marketed to different types of clients of different sizes. **It gives a lot more flexibility**.

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AI Interviewer 00:26:33

When you say it's positive, do you think the revenue per resolution that Zendesk can capture will be enough to offset any compression from fewer seats being sold, or is there a risk that clients end up paying less overall?

Expert 00:26:48

This is a question I am not too sure I can answer, as I haven't been very often on the end of someone who is actually paying for Zendesk. I am usually in the roles where we manage the teams doing the work through Zendesk, but not the ones paying for it. It's hard for me to say if it will offset or not. I would imagine that even though, let's say, the overall amount of money clients pay is reduced, you have a lot more clients, so it could theoretically offset.

AI Interviewer 00:27:15

Got it. Let me now ask about Zendesk's push upmarket into enterprise. From what you have observed, do you think **Zendesk is genuinely winning enterprise accounts,** or is that segment still dominated by players like Salesforce?

Expert 00:27:30

I think it is pushing. Also important to say that from my experience, I haven't handled a lot of enterprise clients. Most have been mid-market to smaller ones. I'm not able to give you an estimate of the percentage of Zendesk users among enterprise clients.

AI Interviewer 00:27:48

Understood. From what you have observed in mid-market, when Zendesk competes against Salesforce in that segment, what tends to be the deciding factor for who wins?

Expert 00:27:58

It's a good question. I think Zendesk is cheaper to deploy and more straightforward than Salesforce.

AI Interviewer 00:28:06

When you say more straightforward, do you mean easier to implement, easier to manage day to day, or something else?

Expert 00:28:13

It's easier to deploy. One thing that I can tell you is that clients that use Zendesk are usually easier to integrate with other apps, other capabilities. I have seen Zendesk tends to be a preference amongst engineering teams, data teams, because of how it works. It tends to be a faster deployment as well.

AI Interviewer 00:28:35

When Salesforce wins in mid-market against Zendesk, what is the main reason buyers choose Salesforce over Zendesk in those situations?

Expert 00:28:43

Because **the end configuration of Salesforce can be quite strong**. It's likely perceived that when everything is ready, it will be a very end-to-end solution.

AI Interviewer 00:28:53

Got it. I want to make sure we cover a couple of remaining areas before we wrap up. On the topic of Zendesk's mid-market defensive position, given the switching costs and disruption you described earlier, how resilient do you think Zendesk's mid-market base actually is to churn over the next one to two years?

Expert 00:29:12

Could you clarify the question, please?

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AI Interviewer 00:29:15

Sure. Given how **painful you describe** CRM migrations to be, how likely do you think it is that mid-market clients who are currently on Zendesk will actually switch away in the next one to two years, versus staying put despite any dissatisfaction?

Expert 00:29:32

I think there could be a lot of factors coming in. I think if Zendesk is fulfilling what the client needs, and given the disruption, it's not very likely they will want to change. **We also see competitors** having push with sales and often offering good deals. It's likely that some will make the change because they are offered a good discount initially or a custom integration or something that's relevant to them. I wouldn't be able to estimate how likely. I would say a lot of clients will tend to prefer to stay with the system they have in place. I think, in general, people don't like that much change given all the work it comes with it, but it happens sometimes. I think we will inevitably see some people switching, not the majority.

AI Interviewer 00:30:15

When **you say competitors are offering good deals to pull clients away, do you think Zendesk's switching costs are high** enough to protect the majority of its mid-market base, even if a competitor offers meaningfully lower pricing?

Expert 00:30:28

You mean because even though a client will be able to pay less, **they will prefer to continue with the price given the disruption**?

AI Interviewer 00:30:35

Exactly. Is the switching cost high enough that price alone isn't sufficient to trigger a move?

Expert 00:30:41

I think it can be in certain cases, yes. Although, sometimes people forget to calculate those invisible costs. You only observe the cost of the full deal and don't acknowledge the actual cost that the transition is having. Given all of your internal staff and all of the extra work that's done, I think if companies stop to calculate that, they will understand that at times **the switch is more expensive** than initially perceived.

AI Interviewer 00:31:08

That's a useful framing. One last area I want to cover. Looking ahead, what do **you see as the single biggest risk to Zendesk's competitive position over the next two to three years**?

Expert 00:31:21

Staying stuck with an old landscape of customer support and not understanding the shifts fast enough. Currently, it's a tool that, again, acquired a lot of smaller companies to have good supporting functions, is reliable, works on it, but perhaps it still acts as a CRM tool that at times requires additional integrations, additional processes. **It perhaps would lose to a competitor** that is thinking on how to solve common gaps that clients face.

AI Interviewer 00:31:52

When you say thinking about how to solve common gaps, which specific gap do you think a competitor could exploit most effectively to take meaningful share from Zendesk?

Expert 00:32:02

You could think of the example of quality. Currently, most clients that use Zendesk will need something additional to have the quality workflow work. If a competitor works on actually having a very comprehensive quality tool that doesn't require additional integration or additional manual work, and actually does the end-to-end quality work in itself, **that's an advantage** because it already reduces the amount of auxiliary things you need when you have the tool.

AI Interviewer 00:32:29

Got it. Do you see any competitor currently close to offering that kind of end-to-end quality capability within their CRM?

Expert 00:32:37

Honestly, no.

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AI Interviewer 00:32:39

Thanks for your insights today. I enjoyed our conversation and appreciate you taking the time to share your expert perspective. Have a great rest of your summer.

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